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26VECV02760 COMPUTERSHARE TRUST

COMPANY, NATIONAL ASSOCIATION, AS TRUSTEE FOR THE BENEFIT OF THE REGISTERED
HOLDERS OF BANK TRUST 2024-5 vs SHERMAN OAKS FIRST PLAZA, LLC, A CALIFORNIA
LIMITED LAIBILITY COMPANY

August 31, 2026, at 8:30 a.m.

Van Nuys Courthouse East, Dept. I

Motion for Appointment of Receiver and
Preliminary Injunction in Aid of Receiver

I.

Background

On May 11, 2026, Plaintiff Computershare Trust Company,
National Association, as trustee for the benefit of the registered holders of
Bank5 Trust 2024-5YR6, Commercial Mortgage Pass-Through Certificates, Series
2024-5YR6 ("Plaintiff") filed a complaint against Defendants Sherman Oaks First
Plaza, LLC ("Defendant") and Does 1 to 50 for appointment of receiver and
injunctive relief.

On June 1, 2026, Plaintiff filed the instant application
for appointment of a receiver and injunctive relief. On June 26, 2026,
Defendant filed its opposition. On July 2, 2026, Plaintiff filed its reply. The
matter came for hearing on July 15, 2026, and was continued for supplemental
briefing on whether the relief requested conflicts with the Assignment of Rents
Order in Govind

Vaghashia v. Prashant Vaghashia, LASC Case No. BC696133 (the “Vaghashia action”).

On August 19, 2026, Plaintiff and Defendant filed their respective supplemental briefs. The Court rules as follows below.

II. Legal Standard

Code of Civil Procedure Section 564, subdivision (a) authorizes the appointment of a receiver “in any case in which the court is empowered by law to appoint a receiver.” (Code Civ. Proc., § 564, subd. (a).) Courts have authorized the appointment of a receiver when a deed of trust contains an assignment clause that allows the beneficiary to take possession of the property through a receiver upon the trustor’s default. (See *Turner v. Superior Court* (1977) 72 Cal.App.3d 804, 812.)

Code of Civil Procedure Section 564, subdivision (b)(11) provides, in pertinent part, that a receiver may be appointed “[i]n an action by a secured lender for specific performance of an assignment of rents provision in a deed of trust, mortgage, or separate assignments document.” (Code Civ. Proc., § 564, subd. (b)(11).) The Lender’s right to the appointment of a receiver exists without regard to the adequacy of any security for the Loan. (*Turner*, supra, 72 Cal.App.3d at 811.)

III. Discussion

Request for Judicial Notice

As a preliminary matter, Plaintiff’s June 1, 2026, request for judicial notice of its Complaint is denied since judicial notice of the Court’s own record is unnecessary and redundant. The Court can always review its own case file.

Evidentiary Objections

Defendant’s June 2, 2026, evidentiary objections to the declaration of Edley Alcide (“Alcide”) are overruled since Alcide is the special servicer authorized to act on behalf of Plaintiff with

respect to its secured loan to Defendant. (See Alcide Decl. at ¶¶ 1-2.)

Accordingly, Alcide has personal knowledge of the loan details and litigation in connection with the loan at issue.

Defendant's June 2, 2026, evidentiary

objections to the declaration of Ian Lagowitz ("Lagowitz") are also overruled since Lagowitz has personal knowledge of his experience as a court appointed receiver, fees, and resume. (See generally Lagowitz Decl.; see also Evid. Code § 702.)

Plaintiff's July 2, 2026, evidentiary

objections to the declaration of Hari S. Lal ("Lal") are sustained as to Nos. 1 to 21 since these statements include impermissible legal conclusions. (See Cal. Evid. Code §§ 400, 403 and 410.) Similarly, Plaintiff's objections are sustained as to Nos. 23-42 since Lal, as counsel for Defendant, lacks personal knowledge of Defendant's financial records or status. (See Evid. Code §§ 403 and 702(a).)

Analysis

Plaintiff seeks to appoint a receiver

over property located at 14423-14457 Ventura Boulevard, Los Angeles, California 91423 (hereinafter the "Property") to protect and preserve the rent generated by the Property as there is a competing claim to the funds. (See Application at p. 2.) Specifically, "the Rents are being diverted to Third Party Creditors [of Defendant] . . . The appointment of the Proposed Receiver is critically important now as it will maintain the status quo and ensure that the Rents are collected in an orderly manner, preserved, and maintained, and the Property is preserved pending resolution. Third Party Creditors did not oppose this Application." (Id. at 2:14-19.) Notably, the Third Party Creditors recently obtained several orders against Defendant in the Vaghashia action. (Id. at 2:20-3:3.) One order assigns the creditors Rents from the Property. (Ibid.) Plaintiff argues that appointment of receiver is now necessary because Defendant failed to disclose this pending litigation and defaulted on its Loan Agreement with Plaintiff. (Id. at 3:16-4:2.)

Plaintiff provides evidence of a loan,

executed and delivered by Defendant, in the amount of \$14,000,000.00, bearing interest and secured by the Property. (See Complaint at Exh. 1.)

Plaintiff is currently the beneficiary under the Deed of Trust on the Property,

the holder and payee of the Promissory Note, and assignee of other loan documents. (Id. at Exh. 4.) Pursuant to the Loan Agreement, failure to disclose materially adverse litigation constitutes an Event of Default. (Id. at Exh. 3 at §§ 3.3 and 10.1(f).) Furthermore, the March 2026 Order in the Vaghashia action, granting interest in the Rents generated by the Property to a third party, constitute an impermissible Sale or Pledge of the Property pursuant to § 6.1 of the Loan Agreement. (See Exh. 3.)

In opposition, Defendant argues that Plaintiff (1) failed to attach any declaration from the original lender Trimont and therefore fails to make an “affirmative factual showing” in support of the application pursuant to Cal. Rules of Court Rule 3.1201 and (2) Plaintiff only alleges a “legal priority dispute regarding a junior lienholder, rather than an immediate physical danger, structural waste, or destruction of the property.” (Opposition at ii:8-20.) Defendant also argues that the Court does not have the jurisdiction or power to issue another assignment order or receivership to collect Rents since another court issued a similar order regarding a rent assignment in the Vaghashia action. (Id. at 5:20-6:17.)

“ ‘Generally, one trial court judge may not reconsider and overrule an interim ruling of another trial judge.’ ” (Ryan v. County of Los Angeles (2025) 109 Cal.App.5th 337, 353.) “For one superior court judge, no matter how well intended, even if correct as a matter of law, to nullify a duly made, erroneous ruling of another superior court judge places the second judge in the role of a one-judge appellate court.” (In re Alberto (2002) 102 Cal.App.4th 421, 427.) “However, there are narrow exceptions to this general rule.” (In re Marriage of Oliverrez (2015) 238 Cal.App.4th 1242, 1248.) These exceptions include (1) where the judge who made the initial ruling is unavailable to reconsider the motion; (2) when the facts have changed or when the judge has considered further evidence and law; and (3) if the record shows that it was based on inadvertence, mistake, or fraud. (Ibid.)

Contrary to Defendant’s contention that the relief sought by Plaintiff as a practical effect would reconsider or overrule the March 2026 Order assigning the rights to rents from the Property, an appointment of receiver would not contradict and is in fact consistent with the March 2026 Order. As Plaintiff notes, “the receiver’s function is to maintain and protect the Property and Rents, not to overturn, modify, or interfere with any order of another court.” (Reply at 8:6-15.) A contractual receivership

provision creates a “prima facie, but rebuttable, evidentiary showing of the beneficiary’s entitlement to appointment of a receiver.” (Barclays Bank of California v. Superior Court (1977) 69 Cal.App.3d 593, 602.) Defendant does not argue this point.

Likewise, the March 2026 Order in the Vaghashia action merely assigns the Third Party Creditors’ rights to payment of rents to satisfy a monetary judgment. (Vagashia Decl., ¶45, Exh. 7 – Order for Assignment and Restraining Order.) There is no evidence presented by Defendant indicating that the Third Party Creditors have taken steps to enforce the March 2026 Order in accordance with Civil Code Section 2938, subdivision (c). Nonetheless, appointment of a receiver is one of the enforcement methods contemplated within Civil Code Section 2938, subdivision (c), thus it is not a conflicting remedy under the statutory framework. Moreover, the injunctive relief sought by Plaintiff actually accords with the March 2026 Order because both restrain Defendant and others with any interest in the rents, i.e., Third Party Creditors from transferring, encumbering, assigning, disposing, spending, or misappropriating the rental payments for any purpose other than payment of the encumbrances in the order of their priority on the Property. (Application at 4:19-26; Vagashia Decl., ¶45, Exh. 7 – Order for Assignment and Restraining Order at 4:5-12.)

Even assuming, *arguendo*, there was conflict between the relief sought by Plaintiff here and the March 2026 Order, Plaintiff’s senior interest in the assignment of rents supersedes the rights of the Third Party Creditors. (See generally, MDFC Loan Corp. v. Greenbrier Plaza Partners (1994) 21 Cal.App.4th 1045, 1052; Federal National Mortgage Assn. v. Bugna (1997) 57 Cal.App.4th 529, 540–541.) Plaintiff includes, as Exhibit 1 to its complaint, a promissory note evidencing a \$14,000,000.00 loan, in which Defendant promised to pay to the order of Wells Fargo Bank, National Association. (See Complaint Exh. 1 [promissory note].) Plaintiff also attaches the Deed of Trust assigning rents from the Property to Wells Fargo. (Complaint Exh. 2 [Deed of Trust].) Plaintiff also provides the Loan Agreement evidencing the same. (Complaint Exh. 3 [loan agreement].) Next, Plaintiff attaches the assignment of deed of trust from Wells Fargo to Plaintiff. (See Complaint Exh. 4 [assignment].) Accordingly, Plaintiff makes a factual showing that it is entitled to Rents from the Property. Defendant fails to provide any evidence supporting its argument that the loan originated with Trimont.

Plaintiff also attempts to enforce its perfected interest in the Rents from the Property by seeking appointment of a receiver to manage the Property. (See U.S. v. Redevelopment Agency of City of Oakland (N.D. Cal. 1995) 926 F.Supp. 928, 935, aff'd (9th Cir. 1997) 111 F.3d 139 ["The assignment of rents in the deed of trust is an assignment of rents for security purposes. An assignment of rents for security purposes must be perfected before a lender is entitled to receive the rents. To perfect this type of interest, California law requires that the lender either acquire possession of the encumbered property or obtain the appointment of a receiver to collect the rents for its benefit."].) (See also In re GOCO Realty Fund I (Bankr. N.D. Cal. 1993) 151 B.R. 241, 248 ["The distinction is that perfection provides a security interest with protection against an intervening third party. In contrast, enforcement of an assignment of rents gives the lender the actual right to collect the rents, causing the lender's interest to become 'choate.' "].) Furthermore, Defendant consented to appointment of receivership upon event of default. As discussed supra, Defendant is in default by failing to disclose materially adverse litigation and through impermissible sale or pledge of the Property. Additionally, Plaintiff is likely to prevail on the merits of its request for specific performance under the Loan Documents.

Bond

Next, Plaintiff proposes a bond of no more than \$25,000.00 because Defendant "is unlikely to be harmed by the imposition of a temporary restraining order or preliminary injunction aimed to protect the Property . . ." (Application at 19:12-18.) In opposition, Defendant argues that the Property is worth at least \$30 million and, consequently, the bond amount should be \$10 million posted by the receivership company and \$5 million by Plaintiff. (Opposition at iii:17-24.) However, a receiver's bond is not intended to compensate the full value of the Property; instead, the bond protects against losses (i.e., if the receiver breaches fiduciary obligations.) (ABBA Rubber Co. v. Seaquist (1991) 235 Cal.App.3d 1, 14.) To this point, the Court finds \$25,000.00 adequate. However, the Court also notes that Plaintiff fails to post an undertaking with its application as required by Code of Civil Procedure Section 529. On this basis alone, the Court grants the instant motion contingent on posting an undertaking in the amount of \$25,000.00.

IV.

Conclusion

Based on the foregoing, Plaintiff's motion for appointment of receiver and preliminary injunction in aid of receiver is GRANTED, effective once Plaintiff posts an undertaking in the amount of \$25,000.00 pursuant to Code of Civil Procedure Section 529.

Plaintiff to give notice.